

1 ENGROSSED HOUSE
2 BILL NO. 4305

By: Blair of the House

3 and

4 Frix of the Senate
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7 [revenue and taxation - real property - terms -
8 method - fair cash value - credits - rates - audit
9 - codification - effective date]
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12 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

13 SECTION 1. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 2865.1 of Title 68, unless there
15 is created a duplication in numbering, reads as follows:

16 A. As used in this act:

17 1. "Active construction" means any property that is being
18 constructed or renovated that has yet to place in service all of its
19 buildings;

20 2. "Audit" means an audit of the financial operations of the
21 property provided by a third-party certified public accountant or
22 financial statements certified by the organization to be true and
23 accurate;
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1 3. "Lease-up" means any property that has an actual occupancy
2 of less than ninety percent (90%), that is under or has been under
3 active construction, and is in the process of leasing units;

4 4. "Net operating income" means gross restricted rent income
5 from the property minus operating expenses and replacement reserve
6 deposits, before debt service, depreciation, amortization, capital
7 expenditures, and income taxes;

8 5. "Organization" means a property owner meeting the
9 requirements under subsection B of this section; and

10 6. "Restricted rent" means the actual rental rates that are
11 restricted by the programs described in subsection B of this
12 section.

13 B. This act shall only apply to real property owned by an
14 organization:

15 1. For the purpose of renting the property to a low income or
16 moderate income individual or family who satisfies the
17 organization's income eligibility requirements;

18 2. That was financed in whole or in part through allocation of
19 the federal low-income housing tax credit authorized pursuant to
20 Section 43 of the Internal Revenue Code, 26 U.S.C., Section 42, and
21 is subject to a land use agreement or regulatory agreement that has
22 not expired or been terminated;

23 3. That does not receive exempt treatment under Section 2887 of
24 this title; and

1 4. The owner of which has not entered into any agreement with
2 any taxing unit to make payments to the taxing unit instead of taxes
3 on the property.

4 C. In determining the fair cash value of a property described
5 in subsection B of this section, the county assessor shall determine
6 the fair cash value of property that is under active construction or
7 lease-up on January 1 of the current tax year in the manner provided
8 by Section 8 of Article X of the Oklahoma Constitution using the
9 restricted rent income approach method, provided that the county
10 assessor shall estimate the property's net operating income based on
11 the organization's projected restricted rent income and expenses for
12 the first full year of operation, as adjusted to reflect the average
13 occupancy during the lease-up period.

14 D. In determining the fair cash value for a property for any
15 subsequent tax year, the county assessor shall determine the fair
16 cash value of the property based upon the restricted rent income
17 approach method utilizing the property's net operating income from
18 the audit provided by the organization.

19 E. In determining the fair cash value of property described in
20 subsection B of this section, the county assessor shall not consider
21 the value or any amount of any federal or state low-income housing
22 tax credits as a component of the fair cash value or income
23 attributable to the property.
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1 F. The county assessor shall determine a formal process for
2 determining market-derived capitalization rates to be applied to the
3 property's net operating income based on project and investor data
4 for comparable properties with restricted rents.

5 G. Not later than May 1 of each year, the organization shall
6 deliver to the county assessor the audit for the preceding year.
7 The county assessor may extend the deadline for good cause shown.

8 SECTION 2. This act shall become effective January 1, 2027.

9 Passed the House of Representatives the 24th day of March, 2026.

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Presiding Officer of the House
of Representatives

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Passed the Senate the ____ day of _____, 2026.

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Presiding Officer of the Senate

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